



The Local Owner's *Exit Guide*

How to sell the business you spent years building —
on your terms, at a fair number, without losing
the people and the name that made it worth buying.

A PRACTICAL PLAYBOOK FOR HOME SERVICES, TRADES & LOCAL BUSINESSES

People-first capital · Long holds · No exit on the calendar

Before you begin

You built something real. Selling it shouldn't feel like losing it.

If you own a local business — a home-services company, a trade, a route, a shop — the day you start thinking about selling is rarely about the money alone. It's about the people who show up every morning, the customers who trust your name, and the decades of quiet, hard-won reputation that don't show up on a balance sheet.

This guide exists to put you on even footing before you ever sit across from a buyer. It's the same set of questions we work through ourselves when we look at a business — written plainly, with nothing to sell you. Read it and you'll understand what your business is worth, what makes that number go up, how a sale actually unfolds, and how to protect what matters most on the way out.

What you'll find inside

The five ways owners exit and what each really costs you · how small businesses are valued (and the levers that move the number) · the eight value drivers you can improve before you sell · a diligence-ready checklist · how deal structure decides what you actually keep · and the questions that protect your team and your legacy.

A note on honesty: this is educational, not advice. Every business and every state is different. Before you make decisions, talk to a CPA and an attorney who know small-business sales. Nothing here is legal, tax, or financial advice.

SECTION ONE

The five ways owners exit

There's no single "sale." There are several very different paths out, and they lead to very different outcomes for your price, your timeline, your team, and your name. Knowing the trade-offs before you start keeps you from being steered toward the option that's easiest for someone else.

Path	Best when...	The trade-off
Family succession	A capable heir genuinely wants it	Often below-market price; family and money mix badly if unplanned
Employee / management buyout	You have a strong #2 and loyal team	Buyers usually need seller financing; can be slow to fund
Strategic / competitor buyer	A rival wants your customers or routes	Highest headline price sometimes — but your team and name are often absorbed or cut
Private equity / search fund	You're larger and want a clean full exit	Built around a 3–7 year resale; expect cost-cutting and a future flip
Long-term holder (permanent capital)	You care who runs it after you	May not top a strategic's peak bid, but keeps the team, name & culture intact

The quiet truth about "the highest bid"

The buyer who offers the most on paper is often the one planning the biggest changes after close — because they need those changes to justify the price. A slightly lower offer from a buyer who keeps your team and grows the business can be worth more to you, your people, and your reputation. Price is one term. It is not the only term.

SECTION TWO

What is your business actually worth?

Most local businesses are priced on a simple idea: a multiple of the yearly profit the business really produces for its owner. Get those two numbers right — the profit and the multiple — and you can estimate a fair range yourself.

Step 1 — Find your SDE (Seller's Discretionary Earnings)

SDE is what the business earns for a single owner-operator, before the personal choices and one-offs that make net profit look smaller than it is. Start with net profit and add back:

- ◆ Your own salary and any owner draws or bonuses
- ◆ Personal or discretionary expenses run through the business (vehicle, phone, travel, memberships)
- ◆ Interest, taxes, depreciation & amortization
- ◆ One-time, non-recurring costs (a lawsuit, a bad year's write-off, a move)

Worked example

A pest-control company does **\$1.2M in revenue**. Net profit reads \$180k. Add back a \$110k owner salary, \$25k of personal expenses, and \$35k of depreciation and interest → **SDE ≈ \$350k**. At a 3.0× multiple, that's roughly a **\$1.05M** valuation — a very different story than the \$180k "profit" on the tax return.

Step 2 — Apply a sensible multiple

Multiples vary by industry, size, and quality. These are rough, real-world ranges for healthy small businesses — not promises. Bigger, cleaner, more owner-independent businesses land at the top of the range; owner-dependent ones land at the bottom.

Sector	Typical SDE multiple	What lifts it
Home services (garage doors, pest control, cleaning)	2.5× – 3.5×	Recurring plans, brand, reviews
Commercial services & electrical	3.0× – 4.0×	Contracts, licensed crew
Waste & hauling	3.0× – 4.5×	Routes, exclusivity, assets

Managed IT / MSP	3.5x – 5.0x+	Monthly recurring revenue
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A caution on "rules of thumb." A revenue multiple you heard at a trade show is not a valuation. Two companies with identical revenue can be worth double or half of each other based on the drivers in the next section. Treat any single number — including the one from this guide — as a starting point for a real conversation, not a price tag.

SECTION THREE

The eight value drivers you can improve

Here's the empowering part: most of what sets your multiple is inside your control. You may not move all eight before you sell — but every one you improve raises both your price and the odds of a clean, low-drama deal.

01 — Owner-independence

The single biggest driver. If the business can run for four weeks without you, buyers pay more and worry less. **Quick win:** write down every decision only you make, and start handing them off.

02 — Recurring & repeat revenue

Predictable income (service plans, contracts, maintenance agreements) is worth far more than one-off jobs. **Quick win:** convert even a slice of customers onto a simple annual plan.

03 — Clean, separated financials

Buyers pay for numbers they can trust. Personal expenses tangled into the business create doubt and knock the price down. **Quick win:** get three years of clean P&Ls; and stop running personal costs through the company.

04 — Documented systems

A binder (or shared drive) of how the work actually gets done tells a buyer the value won't walk out the door with you. **Quick win:** document your top five processes.

05 — Low customer concentration

If one customer is 20%+ of revenue, that's a risk buyers discount heavily. **Quick win:** grow the base so no single account can sink the ship.

06 — A strong team and a real #2

A capable second-in-command who stays is one of the most valuable assets you can hand over. **Quick win:** identify and invest in that person now.

07 — A steady or growing trend

Three years of flat-to-up revenue beats one big spike. Buyers price the trend, not the peak. **Quick win:** protect consistency in the year before you sell.

08 — Transferable contracts & licenses

Leases, permits, warranties, and agreements that transfer cleanly remove friction and risk. **Quick win:** confirm what's assignable and fix what isn't.

SECTION FOUR

Getting your house in order

Every serious buyer will ask for the same things. Having them ready before you go to market shortens the deal, builds trust, and quietly signals you're a professional — which protects your price. Start gathering these now, in one folder.

The diligence checklist

- ☐ Last 3 years of profit & loss statements and federal tax returns
- ☐ Year-to-date financials and a current balance sheet
- ☐ SDE add-back schedule (owner salary, perks, one-offs) with backup
- ☐ Revenue broken down by customer, service line, and recurring vs. one-time
- ☐ Accounts receivable and payable aging
- ☐ Employee roster: roles, tenure, pay, and who is key
- ☐ Customer list and concentration (top 10 as % of revenue)
- ☐ Contracts: customer agreements, supplier terms, leases, franchise/licensing
- ☐ Licenses, permits, bonds, and insurance policies
- ☐ Equipment and vehicle list with condition and ownership/loan status
- ☐ Entity documents: formation, ownership, any liens or litigation
- ☐ A short written overview: what the business does and why it wins

SECTION FIVE

Broker, or no broker?

A business broker markets your company, finds buyers, and helps run the process — typically for 8–12% of the sale price on smaller deals. Sometimes that's money well spent. Sometimes it adds a middleman, an auction dynamic, and a fee to a conversation you could have had directly.

A broker earns their fee when...

You have no buyer in mind and need reach · you value privacy · you'd rather stay anonymous while you test the market · you want a professional negotiation.

You may not need one when...

A credible buyer has already approached you directly · you value a relationship-first sale · you want to keep the full price rather than a discount · you want the actual future owner, not a go-between.

Whichever you choose, keep your own CPA and attorney in your corner. Their job is to protect *you* — on price, on terms, and on taxes — regardless of who introduced the deal.

SECTION SIX

Understanding "the number"

The price on the offer letter is not the money that lands in your account. Deal structure — how and when you get paid — often matters as much as the headline figure. Learn these terms before you negotiate, not after.

Cash at close

The money wired to you on day one. All else equal, more cash at close is better and less risky for you.

Seller financing / seller note

You let the buyer pay part over time, with interest. Common on smaller deals — but it means you carry risk until you're paid.

Earnout

Part of the price is tied to the business hitting future targets. Can bridge a price gap, but only accept targets you trust and can influence.

Holdback / escrow

A slice held back for a period to cover surprises. Normal — just understand the terms for release.

Working capital

Buyers expect a "normal" level of cash/receivables left in the business at close. Get clear on this early; it quietly moves real money.

Asset vs. stock sale

Most small deals are asset sales, which affects your taxes and what liabilities transfer. This is a CPA conversation — the structure can change your after-tax result significantly.

The only number that truly matters

Not the offer. Not even the cash at close. What matters is what you keep after taxes and after terms — and how confident you are you'll actually receive it. A clean, certain, all-cash deal at a fair price often beats a bigger number wrapped in earnouts and IOUs.

SECTION SEVEN

Protecting your people and your legacy

If you care what happens after you hand over the keys, you have every right to ask — and a good buyer will welcome the questions. Ask them before you're deep in a deal, and listen closely to how they answer.

Questions to ask any buyer

- ◆ What happens to my team on day one — and in year one?
- ◆ Do you keep the name, the brand, and the phone number?
- ◆ What changes do you plan in the first 90 days?
- ◆ Have you done this before? May I speak with an owner you've bought from?
- ◆ What's your plan for the business — grow it, or cut costs and resell it?
- ◆ What role, if any, do you want me to play after close?

Green flags

Clear answers about your team · a track record you can verify · respects your name and culture · talks about growth, not just cash · doesn't ask for borrowed money.

Red flags

Vague on what happens to your people · rushes you past your own questions · changing · won't give references · plans an obvious quick resale · expects you to be contingent.

SECTION EIGHT

A realistic timeline

A sale rarely happens fast, and that's usually good — it gives you room to choose well. Here's what the arc typically looks like.

Stage	Typical time	What happens
Preparation	3–12 months	Clean up financials, reduce owner-dependence, gather documents, decide your goals.
Finding a buyer	1–6 months	Direct conversations or a broker process; early no-pressure talks with people you'd trust.
Letter of Intent (LOI)	2–4 weeks	A non-binding outline of price and terms. You choose who to move forward with.
Due diligence	30–90 days	The buyer verifies everything. Your organized folder pays off here.
Close	2–4 weeks	Final documents, funding, transition plan. Then the handoff you designed.

YOUR ONE-PAGE HEAD START

Six moves you can make this month

None of these require a decision to sell. All of them make your business stronger, more valuable, and more ready — whenever you choose.

- ☐ Pull together three years of clean profit & loss statements.
- ☐ Write down every task and decision that only you can do today.
- ☐ Move one group of customers onto a recurring plan or agreement.
- ☐ Name your #2 — the person a buyer would rely on — and invest in them.
- ☐ Stop running personal expenses through the business.
- ☐ List your top 10 customers and what share of revenue each represents.

Where you are is enough to start

You don't need every box ticked to have a conversation. The best time to understand your options is well before you need them — so that when the moment comes, you're choosing from strength.

ABOUT CDH GROUP

We buy good businesses and keep them.

CDH Group is a personal holding company. We buy good small businesses — home services, commercial trades, waste & hauling, and managed IT — and hold them for the long term, backing the people who built them. There's no fund behind us, no investors waiting to be paid back on a schedule, and no exit on the calendar. The name stays on the door. The team keeps building.

If you'd like to talk — no brokers, no auction, no pressure —

Start a conversation →

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